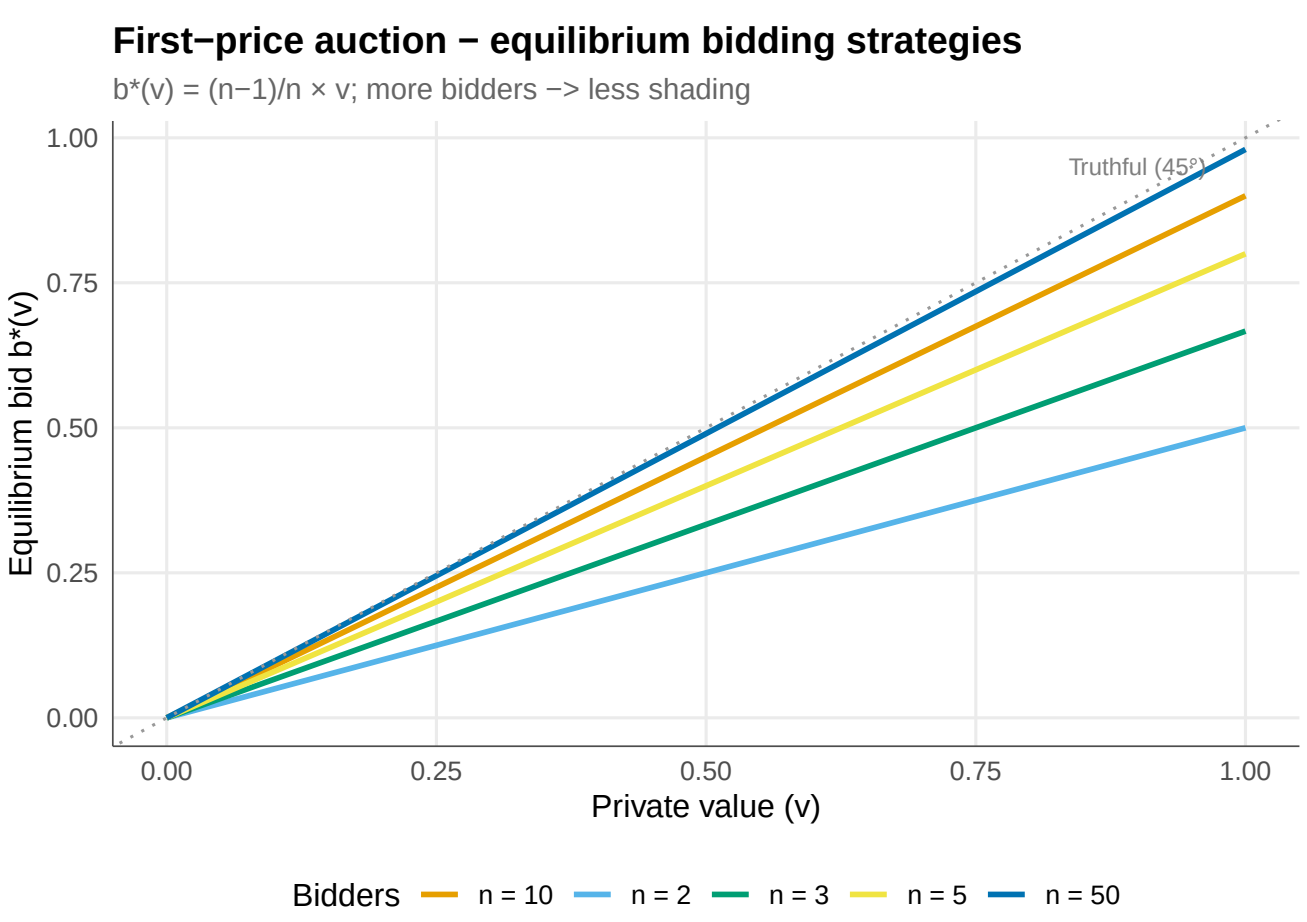
First−price auction − equilibrium bidding strategies
b*(v) = (n−1)/n × v; more bidders −> less shading
Truthful (45°)
Equilibrium bid b*(v)
1.00
0.75
0.50
0.25
0.00
0.00
0.25
0.50
0.75
1.00
Private value (v)
Bidders
n = 10
n = 2
n = 3
n = 5
n = 50